

Applicable fare rules as an example:

According to the fare rules, the penalty for the OB is 60% of the fare and for the IB is 80% of the fare. Both penalties apply per fare component and in case of combination of the fares both penalties apply.

```
FARE          USD745.00
TOTAL         GBP1126.89    EQUIVALENT FARE PAID          GBP589.00

FARE CALCULATION
LOS VS LON637.50VS LOS107.50NUC745.00END ROE1.00
```

Step 1: Calculate the total penalty in NUC

In the fare calculation on the ticket we see that the first fare component from LOS to LON costs 637.50 NUC and the second fare component from LON to LOS costs 107.50 NUC.

Since both penalties will apply according to the fare rules stated above, the total penalty in NUC is:

$$60\% * 637.50 \text{ NUC} + 80\% * 107.50 \text{ NUC} = 382.5 \text{ NUC} + 86.00 \text{ NUC} = 468.5 \text{ NUC}$$

Step 2: Convert it to the currency of the fare:

In the fare calculation ROE (Rate Of Exchange) is to be found too. In this case it is equal to 1.00.

So, the penalty in USD is:

$$468.5 \text{ NUC} * \text{ROE } 1.00 = 468.5 \text{ USD}$$

Step 3: Convert the fare amount to the currency of the equivalent fare using the currency convertor in Edwin (Order date)

Currency converter



Amount

	468.5	USD ▾	=	370.14 GBP
	(200+3) * 0.1	Currency ▾	=	0 GBP

Conversion rate date

☒ Order date

☐ Today

☐ Custom date

Total amount

370.14	GBP ▾
-------------------------------------	---------

Step 4: Inform the passenger:

If the customer's currency is the same as the equivalent's fare one, then the 370.14 GBP is the penalty that needs to be communicated with the passenger. Otherwise, the agent needs to convert the penalty to the currency of the customer via Edvin currency converter again.

Suggestion:

In case there is only one penalty in percentage that applies for all sectors/ fare components/ pricing units :
Mathematically the agents can speed up the process by calculating the penalty taking into consideration the total equivalent amount (avoiding the calculations in NUC).

So, for a 60% penalty for the aforementioned ticket, where the equivalent fare is 589.00 GBP, the penalty is:

$$60\% * 589.00 \text{ GBP} = 353.40 \text{ GBP}$$

After that the agents can go to step 4, skipping the previous ones.